

Final evaluation of macroeconomics (3hours)

(Dr. NOUMO FOKO) BME2

Academics year 2023/2024 (Normal session)

I Define the following concepts: (2 points)

- Economics model
- Fluctuations
- Exclusive growth
- Exchange rate

II In a stock exchange market, economic agents can acquire bonds or shares; compare the two elements (3 points)

III Present the four aggregates that are used to define the "magic square" and their formula of calculation (4 points)

IV Critical analysis of Economic circuit (3 points)

Exercise (8 points)

Let's consider a Keynesian economy with the whole households having the following characteristics:

$$C = 125 + 0.8 Y$$

$$G_0 = 125$$

C=

And the general price level at a given year X which is 255 knowing that the one of year X_{-1} was 247

WR :

- 1) Give the explanation of these terms : C ; Y ; 125 et 0.8 (1 pt)
- 2) What is the place of interest rate in Keynesian consumption function? (0.5 pt)
- 3) Calculate the inflation of this economy at year X and characterize it (1 pt)
- 4) Give the level of consumption when $Y = 1500$ (0.5 pt)
- 5) Graphical representation of the consumption function of this economy (1 pt)
- 6) Give an economical interpretation of different parts of this graphic (1.5 pts)
- 7) Find mathematical expression of average propensity to consume and deduct its value for $Y = 1500$ (1 pt)
- 8) Find Keynes multiplier of such economy (1 pt)
- 9) What can you draw as conclusion? (0.5 pt)